

by contrast, will appear more rounded and wider than will their Adam counterparts).

When judging bottom shape, ask yourself if the two bottoms look the same or different. If they look the same, then you have either Adam & Adam or Eve & Eve bottoms. Narrow bottoms signify the Adam variety and wide bottoms signify the Eve variety.

Price trend. Look for price trending downward into the start of the chart pattern. Thus, the double bottom acts as a reversal of the downward price trend. How long should the inbound trend be? As measured from the trend start (see Glossary “Trend start” for definition), intermediate to long-term trends perform best. That's a trend longer than 3 months.

Table 26.1 Identification Guidelines

Characteristic	Discussion
Appearance	The two bottoms in this pattern should look similar, both narrow and V-shaped, perhaps one-day price spikes. Both should bottom near the same price.
Price trend	Price trends downward leading to the double bottom and should not drift below the left bottom.
Rise between bottoms	Some set a minimum rise of 10% from the lowest valley to the highest peak between the two bottoms, but be flexible. Taller patterns perform better.
Bottom low price	Bottom-to-bottom price variation is small. The median variation is 1%.
Bottom separation	Bottoms should be at least a few weeks apart, but I set no minimum or maximum duration for the pattern.
Volume	Usually higher on the left bottom than the right, so volume trends downward most often. Do not discard a chart pattern because volume has an unusual trend.
Breakout direction, confirmation	Upward, by definition. A breakout occurs when price closes above the highest peak between the two bottoms. A breakout confirms the pattern as valid.